Lecture 1: What Is Money?

MNY101 Money Basics

Sample course for trying Smazy

How this course works

- Three lectures, one homework, one course project
- Grading and deadlines are in the syllabus
- The course project is described in the project guidelines
- Your project is marked with the grading rubric

Three jobs of money

- Medium of exchange: it lets us trade without barter
- Unit of account: it lets us compare prices
- Store of value: it lets us save for later

What makes good money?

- Durable: it does not wear out quickly
- Divisible: it can be split into small amounts
- Portable: it is easy to carry
- Scarce: it cannot be created without limit

Inflation

- Inflation is a general rise in prices over time
- When prices rise, each unit of money buys less
  - Example: at 5% inflation, 100 today buys what 95 bought last year
  - Savings must earn at least the inflation rate to keep their value

Read more

- Background reading on money:
- https://en.wikipedia.org/wiki/Money
- See also the reading on the history of money in the course folder